PROCESS IMPROVEMENT CASE STUDY

Fixing wholesale order-to-cash

How mapping, data and a few rule changes could cut ship time from 4.8 to 2.3 days at a fast-growing sporting goods brand

Varnika Bethireddy · PaddleCo is fictional; all data is synthetic

Wholesale orders were missing the ship target, and retailers were charging for it

4.8

days, order to ship

Target is 3 days

30%

of orders shipped on time

Within the 3-day target

$187K

in retailer chargebacks

1.0% of wholesale revenue

2,000 wholesale orders, April to September 2026 · 70% arrive as emailed PDFs, 30% via EDI

Six phases, one deliverable each

1 · DISCOVER

SIPOC, stakeholder map, interviews, workshop

2 · MAP

Current-state swimlane, step inventory, RACI

3 · ANALYZE

Order-log analysis, Pareto, root causes, impact vs effort

4 · REDESIGN

Future-state flow, decision tree, ATS spec, automation backlog

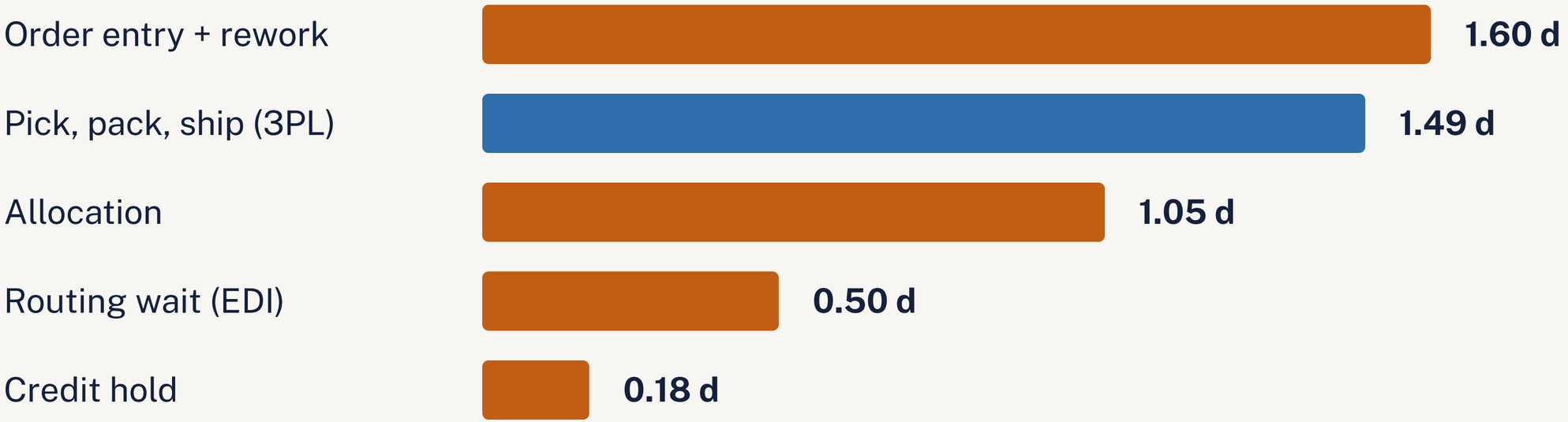
5 · DOCUMENT

Six SOPs and a process library index

6 · ROLL OUT

Change plan, training, QRG, adoption tracking

Only 1.5 of the 4.8 days is actual work; the rest is waiting



Orange = waiting or rework · blue = value-added work · average days per order. Short-stock orders wait 3.4 days at allocation; held orders wait 26 hours for credit.

Two timing problems cause 95% of the $187K in chargebacks



$124K · 66%

Late routing / missed pickup

Routing requested after the retailer’s window on 26% of EDI orders

$54K · 29%

ASN accuracy

ASN sent before the 3PL confirmed cartons on 18% of EDI orders

Remaining 5% ($9K): carton labeling and late-shipment fines · six months, three EDI retailers

Decisions that should be rules were made in email and Slack

ROOT CAUSE 1

Unstructured intake

PDF POs are retyped and checked by eye against price lists kept in spreadsheets. 7.8% need rework.

ROOT CAUSE 2

No allocation policy

With no priority rule, short orders wait on Sales via Slack, which also delays routing requests.

ROOT CAUSE 3

Wrong triggers

ASNs fire on pick, not pack; invoices and credit releases wait for someone to notice.

Found through interviews, shadowing, a fishbone and 5 Whys, then tested against the order data.

Rule changes first, tools second

Wave	Fix	How (NetSuite-style)	Effort
1	Routing deadline alerts	Saved search, alert at T-72 h	Low
1	ASN gated on cartons	EDI 856 fires on pack confirmation	Low
1	Allocation priority rule	Reservations, tiers, then FIFO	Low–medium
1	Credit approval workflow	SuiteFlow, auto-release, 4 h escalation	Low
1	Bill-as-shipped	Invoice on each fulfillment	Low
2	PO capture + validation	Draft orders checked vs price, ship-to	Medium
2	Real-time ATS feed	15-minute feed to the DTC site	Medium–high

Ranked on an impact-vs-effort 2x2. Phase 2 candidates: a specialty order portal and price lists loaded into NetSuite.

MODELED FUTURE STATE · SAME 2,000 ORDERS

2.3 d

order to ship, down from 4.8

89%

shipped within 3 days, up from 30%

−82%

chargebacks, $187K to $34K in six months

About $325K a year in chargebacks and labor avoided, and roughly 270 fewer hours of manual entry and rework every six months.

Five of eight KPIs reach target in the model; three need the rollout to finish the job

KPI	Baseline	Modeled	Target	Status
Order-to-ship cycle time	4.83 d	2.27 d	3 d	Meets
Shipped within 3 days	30.2%	88.9%	85%	Meets
Credit hold release	26.2 h	3.4 h	4 h	Meets
Chargebacks, % of revenue	1.00%	0.18%	0.5%	Meets
Invoice lag	1.60 d	0.30 d	0.5 d	Meets
Entry error rate (email POs)	7.8%	2.1%	2.0%	Small gap
On-time-in-full	75.9%	94.6%	95%	Small gap
DTC oversell rate	3.6%	0.51%	0.5%	Small gap

Adoption is planned, trained and measured, not assumed

WAVE 1 · WEEKS 1–3

Five rule changes

60-minute session per team, SOP walkthrough, daily stand-up and office hours in hypercare

WAVE 2 · WEEKS 4–6

PO capture + ATS feed

Sandbox practice (10 orders each), desk QRG, side-by-side support, daily 10-order audit

MEASURED WEEKLY

90% audit pass rate

Plus overrides, manual ASN sends and Slack priority requests; misses go to the process manager

Toolkit: change plan, role-by-role impact table, launch email, FAQ, training agenda, quick reference guide, resistance plan.

What I’d take into a real first 90 days

DAYS 1–30

Shadow Order Management, build SIPOCs for O2C, P2P and NPI, and pull a baseline from NetSuite saved searches

DAYS 31–60

Current-state maps for the top two pain points, quantified, and a prioritized backlog agreed with the Business Process Manager

DAYS 61–90

First two fixes live with SOPs, a QRG and an adoption tracker; KPI scorecard reported monthly

Lesson from this project: measure the tails, not just averages, and fix when a step happens before buying a tool.